Factory Automation: Companies Analysis

Twelve leaders across Europe, the US, Japan and China — financials, strategy and portfolio moves, technology, growth potential and downturn survivability
Report 2 of 3 · Prepared 28 October 2026

12	$23.7B	14–22%	All survive
Companies analysed (+ software & vision players)	Schneider–PTC (Oct 2026), largest of a wave of software deals	Automation margins at the 2025 trough (most leaders)	A 2023–25-style downturn; jobs are the risk, not solvency

Bottom line

Every major factory-automation company would survive a whole-market downturn; the question is which ones keep growing and how much they restructure. The strongest long-term businesses own software plus a large installed base: **Siemens** (global #1 in PLCs and engineering software), **Schneider** (turning into an industrial-software company with AVEVA and the $23.7B PTC deal), **Emerson** (process automation + AspenTech, 28% margins) and **ABB** (process automation + electrification, robots sold). **Keyence** and **Fanuc** are financial fortresses but closed, Japanese-run organisations. The most exposed are commodity hardware makers facing Chinese competition: **Yaskawa**, **Omron** and Mitsubishi Electric's FA unit.

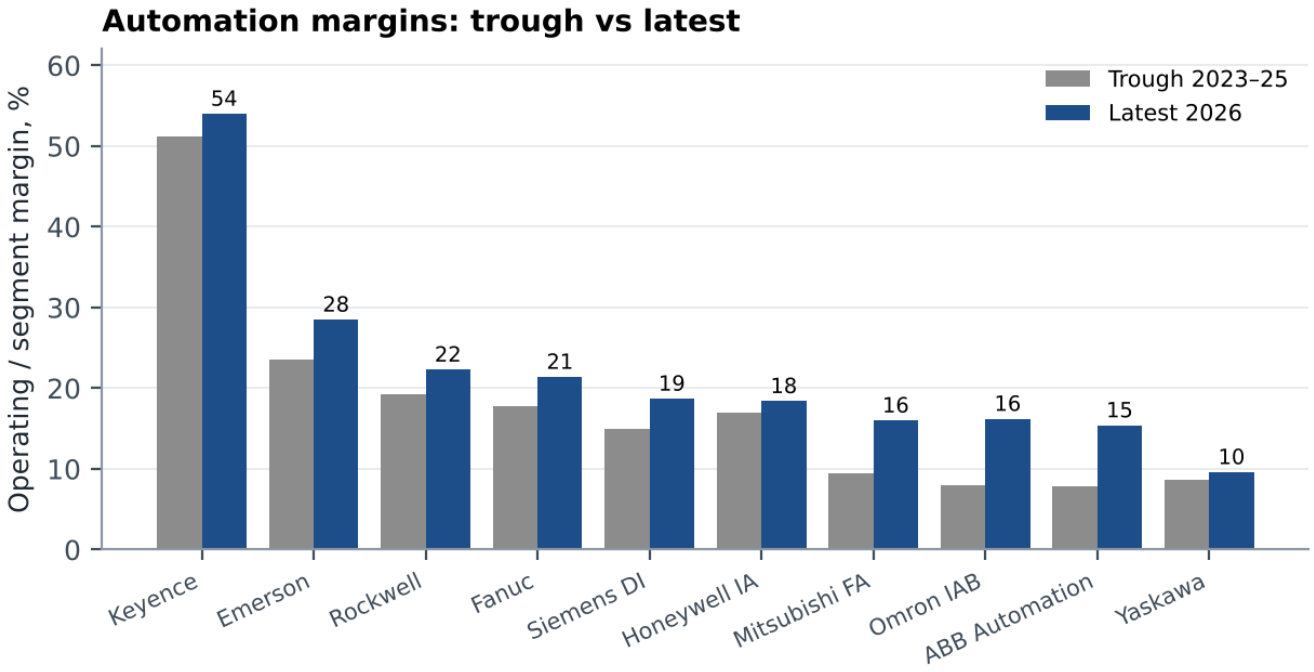
Scorecard [EST where marked]

Company (HQ)	Automation revenue (latest FY)	Margin trough → latest	Balance sheet	Strategy intensity	Survives ?	5-yr outlook
Siemens DI (Munich)	€17.8B	14.9% → 18.7%	A+, €10.8B FCF	Very high	**Yes**	Strong
Schneider IA (Paris)	~€7.0B (group >€40B)	14.2% → recovering	A/A2; debt rising for PTC	Very high	**Yes**	Strong
ABB Automation (Zurich)	~$8.8B	7.9% (RA) → 15.4%	Net debt 0.3× EBITDA	High	**Yes**	Strong
Emerson (St. Louis)	$18.0B (all automation)	~23.5% → 28.5%	~2× EBITDA after AspenTech	High	**Yes**	Strong
Rockwell (Milwaukee)	$8.3B (FY26E ~$9.0B)	19.3% → ~22%	Moderate leverage	Moderate	**Yes**	Good, cyclical
Honeywell Technologies (Charlotte)	~$20B (IA unit ~$4.5B)	IA 17% → 18.4%	Net debt ~$10.4B	Very high (post-split)	**Yes**	Moderate; IA weak
Keyence (Osaka)	¥1,169B (~$7.8B)	51.2% → 54.0%	Net cash >¥2T [EST]	Low	**Yes**	Strong
Fanuc (Yamanashi)	¥858B (~$5.7B)	17.8% → 21.4%	¥615B cash, no debt	Low	**Yes**	Good
Mitsubishi Electric FA (Tokyo)	¥798B (~$5.3B)	9.4% → 16.0% (Q1)	Group-level, record profit	Moderate	**Yes**	Good
Omron IAB (Kyoto)	¥410B (~$2.7B)	~6–10% → 16% (Q1)	Moderate	Moderate	**Likely**	Moderate
Yaskawa (Kitakyushu)	¥542B (~$3.6B)	8.7% → ~9.6% guide	Thin cash (¥61B)	Low	**Likely**	Weak-moderate
Inovance (Shenzhen)	CNY 45.1B (~$6.3B)	Net margin ~11%	HK IPO up to $2B	Moderate	**Yes**	Strong (China)

FX approximations for comparison only [EST]: €1 ≈ $1.10, $1 ≈ ¥150, $1 ≈ CNY 7.2. Margins are segment/operating margins as each company reports them, so they are not strictly comparable. Not investment advice.

1. Industry structure and where profit sits

No company dominates all of factory automation. Each leader owns a few franchises: Siemens and Rockwell in PLCs (Europe/Asia vs North America), Emerson, ABB and Honeywell in process control (DCS), Fanuc in CNC and robots, Keyence in sensors and vision, Yaskawa and Mitsubishi in servo. Software is the battleground everyone is buying into.



Company filings. Keyence/Fanuc/Yaskawa = company operating margin; others = automation segment. ABB trough = Robotics & Discrete Automation (Q4 2024); Omron trough approximate [EST]; Mitsubishi and Omron latest = Apr–Jun 2026 quarter.

Reading the chart: a sensing/vision franchise (Keyence) and process-plus-software portfolios (Emerson) earn the most and fell the least. Commodity motion and robots (Yaskawa, ABB robots) earn least and are the ones exposed to Chinese pricing — which is why ABB sold robots and why Japanese mid-tier players are restructuring.

The 2024–26 portfolio reshuffle

Company	Move	Value	Status
Schneider	Acquire PTC (CAD/PLM/IoT software)	$23.7B EV	Signed 5 Oct 2026; close ~Q3 2027
Siemens	Altair (simulation) + Dotmatics (life-science R&D software)	~€14B combined	Closed 2025
Emerson	Buy remaining AspenTech shares; earlier NI ($8.2B), Copeland exit ($14B)	$7.2B	Closed Mar 2025
Honeywell	Three-way split: Solstice (Oct 2025), Aerospace (Jun 2026); JM Catalysts; sold PSS, Intelligrated	—	Done; Elliott on board
ABB	Sell Robotics to SoftBank; buy Rotork (actuators)	$5.4B / $5.5B	Robotics pending; Rotork H1 2027
Schneider	India JV minority buyout; Shelly; €1–1.5B divestments by 2030	€5.5B / €1.2B	2025–27
Siemens	Spin ~30% of Healthineers to shareholders	—	Vote Feb 2027
Rockwell	Dissolve Sensia JV with SLB	—	Done Apr 2026
Omron	Sell device unit to Carlyle; IAB M&A top priority	—	Oct 2026

2. European leaders

Siemens — Digital Industries

€B (FY ends Sep)	FY21	FY22	FY23	FY24	FY25	Q3 FY26	FY26 guide
DI revenue	~16.5	~19.5	~21.6	~18.5	17.8	4.9 (+10%)	+7–10%
DI profit margin	~21%	~20%	~21.4%	18.9%	14.9%	18.7%	17–19%
DI orders					18.4 (+8%)	4.9 (+9%)	B/B >1

FY21–23 from prior reports (not re-verified); FY24 derived.

- **Group:** revenue €78.9B FY25, record net income €10.4B and FCF €10.8B; Q3 FY26 orders +14%, backlog €132B; EPS guide raised; A+ rated; €6B buyback.
- **Software:** DI ARR €5.7B (+11%), software revenue +15%. 'ONE Tech Company' strategy targets up to 9% growth.
- **People:** ~6,000 job cuts announced Mar 2025, 5,600 in DI (~8% of ~70k); largest since 2017. Strategy and M&A in Munich; software M&A in the US (Plano).
- **Technology:** global #1 in PLCs + engineering software (TIA, NX, Teamcenter, Altair); first certified virtual fail-safe PLC; Industrial Copilot with Microsoft; 'Industrial AI OS' with Nvidia.
- **China:** domestic brands hold only ~8% of mid/large PLCs — Siemens' fortress — but ~41% of small PLCs.

Schneider Electric — Industrial Automation

€B (FY Dec)	2022	2023	2024	2025	9M 2026	2026 group guide
IA revenue	7.73	7.66	7.02 (−3.7% org)	~7.0 (+3%)	5.43 (+7.9%)	Org +12–14%
IA adj. EBITA margin	18.9%	17.0%	14.8%	14.2%	—	Group ~19.8%
Group revenue	34.2	35.9	38.2	>40	Q3 +16.9% org	

- **Mix:** IA is now only ~16% of group revenue; Energy Management (+18.8% organic, data centers) is the growth engine. Software & services 19% → target ~25% by 2030; AVEVA ~85% recurring.
- **Deals:** PTC ($23.7B EV, €250M cost / ~€800M revenue synergies), India buyout (€5.5B), Shelly; net debt €13.7B; A/A2 reaffirmed Oct 2026. CMD 2026–30: 7–10% organic growth, +250bp margin.
- **People:** ~150k staff; CEO Olivier Blum since Nov 2024 (predecessor removed after ~18 months). Plant consolidation in France, €500M restructuring 2025–27; PTC overlap likely 2027–28. Multi-hub HQ: Paris, Boston/Andover, Hong Kong, Bangalore.
- **Technology:** leader in open, software-defined control (EcoStruxure Automation Expert, IEC 61499); strong process software via AVEVA; trails Siemens in discrete PLC share.

ABB — Automation (Process + B&R); Robotics being sold

- **Group:** record 19.0% op. EBITA in 2025; Q3 2026 orders $12.06B (+40%, record), revenue $9.7B (+14%), margin 20.8%; ROCE ~30%; net debt only 0.3× EBITDA.
- **Automation BA:** ~$2.2B a quarter, 15.4% margin (target 14–18%). Robotics & Discrete fell to 7.9% at the Q4 2024 trough.
- **Portfolio:** Robotics → SoftBank ($5.375B; not confirmed closed at Q3 2026); Rotork ($5.5B, 2027); long history of carve-outs (Power Grids, Dodge, Accelleron).
- **People:** ~110k; decentralised 'ABB Way' — strategy partly inside business areas; central Corporate Strategy & M&A in Zurich. No group-wide layoff 2024–26.

3. US leaders

$B	FY18	FY20	FY22	FY23	FY24	FY25	FY26 guide	Segment margin (latest)
Rockwell (Sep FY)	6.67	6.33	7.76	9.06	8.26 (−9%)	8.34	~9.0 (+7.5–9.5% org)	~22%; S&C 34.8%
Emerson (Sep FY)	—	—	~13.8*	15.2	17.5	18.0	~18.9	28.5% adj. EBITA
Honeywell Tech. (Dec FY)	—	—	—	—	—	—	20.0–20.1	21.3% (IA 18.4%)

*Emerson continuing operations, restated. Honeywell Technologies only exists in this form since the June 2026 spin.

- **Rockwell:** pure-play discrete/hybrid automation, dominant Logix installed base in North America. Most cyclical: FY24 sales −9%, Software & Control −24%. FY26 adj. EPS $13.00–13.30, above the FY23 peak. ~870 layoffs (3%) in May 2024, headcount 29k → 26k. Partnerships with Microsoft and Nvidia; Plex, Clearpath, Verve acquisitions. Low China exposure.
- **Emerson:** transformed from conglomerate into automation + software (NI, AspenTech; sold Copeland, InSinkErator). Best margins and cash of the US three (FCF ~$3.6B). 2028 targets: $21B sales, 30% margin, $8 EPS, $10B returned. Restructuring rising again ($141M in 9M FY26; Charlottesville PLC site closing).

- **Honeywell Technologies:** pure-play automation since 29 Jun 2026 (Building Automation 27% margin, Process Automation & Technology 22%, Industrial Automation 18%). Activist Elliott on the board; continuous 'repositioning' charges; IA shrunk from ~$10B to ~$4.5B through divestitures and impairments ($768M in 2025).
- **Briefly:** Cognex Q2 2026 revenue $291M (+17%), margin back above 30%; Teradyne Robotics (Universal Robots/MiR) cut ~10% then ~14% of staff in 2025, now profitable.

4. Japanese and Chinese leaders

¥B (FY ends Mar unless noted)	FY3/22	FY3/23	FY3/24	FY3/25	FY3/26	Current-year guide / latest
Keyence sales / OP margin	755 / 55.4%	922 / 54.1%	967 / 51.2%	1,059 / 51.9%	1,169 / 51.0%	Q1 +33%, 54.0%
Fanuc sales / OP margin	733 / 25.0%	852 / 22.5%	795 / 17.8%	797 / 19.9%	858 / 21.4%	Raised to ~¥1,010B
Yaskawa (Feb FY) revenue / margin	479 / 11.0%	556 / 11.4%	576 / 11.3%	538 / 9.3%	542 / 8.7%	600 / ~9.6% (OP cut)
Mitsubishi Electric FA revenue / margin	~750–800 / ~15%*				798 / 9.4%	900 / 13.3%; orders +42%
Omron IAB revenue / OP				365 / ~36	410 / 42.8	Q1 +37%; target 16% by FY3/31
Inovance (CNY B, Dec FY) revenue / NP			37.0 / 4.3 (2024)	45.1 / 5.05 (2025)	H1-26 24.7 (+20%)	+10–30%

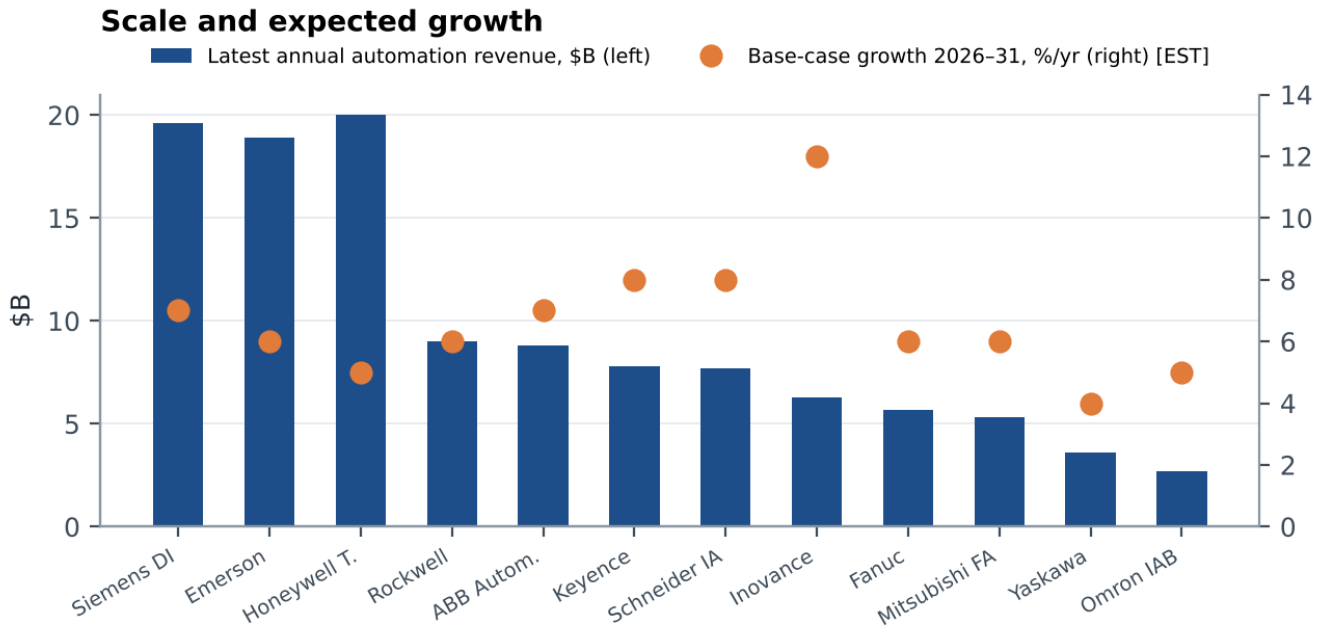
*Approximate peak [EST]. Sources: company IR releases; Yaskawa H1 from summary (verify).

- **Keyence:** the profit champion (op. profit ~3× Fanuc's); fabless, direct consultative sales, no M&A, no guidance. Highest pay of any large Japanese company (~¥21.8M average) with intense, metrics-driven culture. Strategy is in Osaka; overseas subsidiaries are sales organisations.
- **Fanuc:** global #1 in CNC (~half the market [EST]), top-2 robots; ¥615B cash; 60% payout. Opening up (Nvidia physical-AI, open ROS 2 driver). Insular, centralised in Yamanashi; lifetime employment, no layoffs.
- **Mitsubishi Electric FA:** MELSEC PLC and servo strength in Asia; margin rebounding from 9.4% toward 13–16%. Group ran an early-retirement programme (~4,700 applicants aged 53+, ~¥100B) despite record profits; US hub in Vernon Hills, IL.
- **Omron:** restructured (NEXT 2025, ~2,000 roles), sold its device unit to Carlyle; new 2030 roadmap with IAB M&A as top priority; the most internationally open Japanese FA firm (Hoffman Estates, IL; Europe).
- **Yaskawa:** most exposed to Inovance (6.2% vs 30.2% of China servo); thin cash; ERP execution problems in 2026 despite record orders.
- **Inovance:** China's only broad-line challenger (servo, PLC, drives, SCARA robots); R&D ~9% of sales, 29k staff, Huawei-like intensity; HK IPO (up to $2B) to fund overseas expansion. Mandarin-run strategy.

5. Industrial software, vision and other employers

Company	Latest	Note for a strategy career
PTC	FY26 revenue guide $2.69–2.75B; ~41% adj. margin; sold Kepware/ThingWorx to TPG	Being acquired by Schneider — integration roles 2027–28, overlap risk
Dassault Systèmes	Revenue +4%; ~32% margin; 81% recurring	Independent PLM leader; Paris-centric
Hexagon / Octave	Hexagon 8% organic, 26% margin; Octave spun May 2026, $2.1B write-down	Octave a plausible take-private target
Cognex, Zebra, KUKA (Midea)	Cognex record $291M quarter; KUKA cutting 560 in Augsburg; Zebra exited robotics	Specialists; smaller strategy teams
Private/family: Beckhoff, Festo, Bosch Rexroth, Danfoss, SMC	Festo €3.33B (third decline, ~1,300 cuts); Rexroth €6.45B, orders +8.9%	Small strategy teams, little M&A

6. Growth potential, 2026–2031



Revenue: latest FY or FY26 guidance converted at approximate FX; Honeywell Technologies includes Building Automation; Schneider IA excludes PTC (adds ~$2.7B from 2027). Growth rates are analyst estimates.

Growth tier [EST]	Companies	Why
Above market (8–12%/yr)	Inovance, Schneider (incl. PTC), Keyence	Share gains in China; software mix; overseas expansion
At market (6–7%)	Siemens DI, ABB Automation, Emerson, Rockwell, Fanuc, Mitsubishi FA	Installed base + software; AI/semis/electrical demand
Below market (3–5%)	Yaskawa, Omron IAB, Honeywell IA unit	Commodity hardware, Chinese pricing, portfolio shrinkage

7. Can they survive a whole-market downturn?

Using Report 1's scenarios: **A — bear case** (2023–25-style destock: automation revenue −8 to −10% over two years) and **B — severe** (revenue −20%, a 2009-lite shock). Margin estimates apply each company's last-cycle decremental margin with opex largely held flat. [EST]

Company	Latest margin	Last trough	Scenario A margin	Scenario B margin	Likely response in B
Keyence	54%	51%	~48–50%	~40–45%	Nothing visible; bonuses fall
Emerson	28.5%	~23.5%	~25%	~20%	Restructuring $200–300M; buybacks flex
Fanuc	21–26%	17.8%	~18%	~12–14%	No layoffs; bonuses and hiring cut
Rockwell	~22%	19.3%	~18%	~13–15%	3–5% headcount action (SG&A first)
Siemens DI	18.7%	14.9%	~14–15%	~10–12%	Another 5–8% DI capacity cut
Honeywell Tech. (IA)	18.4%	~17%	~15%	~10%	Rolling repositioning, divestitures
ABB Automation	15.4%	~8% (RA)	~12–13%	~9–10%	Division-level cuts (B&R)
Schneider IA	~15–16%	14.2%	~12%	~8–10%	PTC overlap cuts accelerate
Mitsubishi FA	13–16%	9.4%	~9%	~4–6%	Early-retirement programmes
Omron IAB	~16%	~6–10%	~8%	~0–3%	Another NEXT-style programme
Yaskawa	~9.6%	8.7%	~6%	~1–3%	Restructuring, Europe/US cuts

- **Solvency is not in question for any of the twelve.** The Western leaders and Keyence/Fanuc stay solidly profitable even in scenario B; group diversification (electrification, data-center power, building automation) cushions Siemens, Schneider, ABB and Honeywell further.
- **Jobs are the real risk.** The 2023–25 downturn already produced cuts at Siemens (5,600), Rockwell (~870 and attrition to −10%), Omron (~2,000), Mitsubishi Electric (~4,700 early retirements) and Emerson (integration sites). Expect the same pattern next time, with HQ and SG&A functions hit early.
- **Most fragile:** Yaskawa and Omron (thin margins, Chinese competition) and acquired/overlapping units during integrations (PTC inside Schneider, AspenTech/NI inside Emerson, ABB Robotics under SoftBank).

Long-term ranking on business strength (10–20 years) [EST]: 1. Siemens · 2. Schneider · 3. Emerson · 4. ABB · 5. Keyence · 6. Rockwell · 7. Fanuc · 8. Honeywell Technologies · 9. Mitsubishi Electric · 10. Inovance (global) · 11. Omron · 12. Yaskawa. Business strength is not the same as career fit for a strategy professional — Keyence and Fanuc rank high here but offer almost no senior strategy roles to outsiders. Report 3 ranks employers for your role.

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